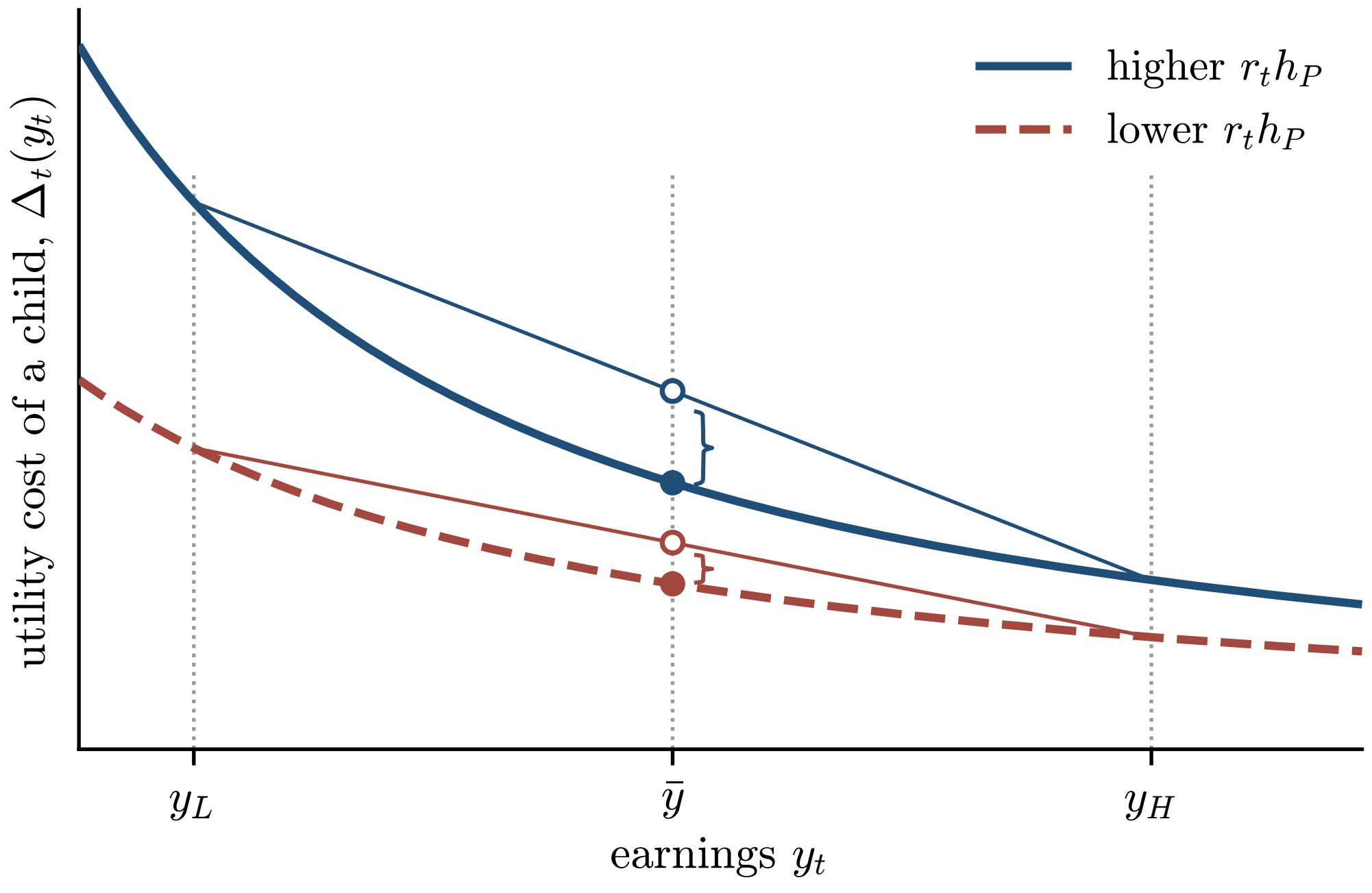
higher $r_t h_P$
lower $r_t h_P$
utility cost of a child, $\Delta_t(y_t)$
y_L
$\bar{y}$
y_H
earnings y_t